

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 2143

 By: Alvord of the Senate

 and

 Lepak of the House

11 An Act relating to ad valorem tax; amending 68 O.S.
12 2021, Sections 2802 and 2821, which relate to
13 definitions and physical inspection of real property;
14 modifying definition; defining term; authorizing the
 use digital visual technology for inspection of real
 property; updating statutory language; and providing
 an effective date.

18 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

19 SECTION 1. AMENDATORY 68 O.S. 2021, Section 2802, is
20 amended to read as follows:

21 Section 2802. As used in Section 2801 et seq. of this title:

22 1. "Accepted standards for mass appraisal practice" means ~~these~~
23 the standards on mass appraisal of real property, as maintained by
24 the International Association of Assessing Officers, for the

1 collection and analysis of information about taxable properties
2 within a taxing jurisdiction permitting the accurate estimate of
3 fair cash value for similar properties in the jurisdiction either
4 without direct observation of such similar properties or without
5 direct sales price information for such similar properties using a
6 reliable statistical or other method to estimate the values of such
7 properties;

8 2. "Additional homestead exemption" means the exemption
9 provided by Section 2890 of this title;

10 3. "Assessor" means the county assessor and, unless the context
11 clearly requires otherwise, deputy assessors and persons employed by
12 the county assessor in performance of duties imposed by law;

13 4. "Assess and value" means to establish the fair cash value
14 and taxable fair cash value of taxable real and personal property
15 pursuant to requirements of law;

16 5. "Assessed valuation" or "assessed value" means the
17 percentage of the fair cash value of personal property, or the
18 percentage of the taxable fair cash value of real property, pursuant
19 to the provisions of Sections 8 and 8B of Article X of the Oklahoma
20 Constitution, either of individual items of personal property,
21 parcels of real property or the aggregate total of such individual
22 taxable items or parcels within a jurisdiction;

1 6. "Assessment percentage" means the percentage applied to
2 personal property and real property pursuant to Section 8 of Article
3 X of the Oklahoma Constitution;

4 7. "Assessment ratio" means the relationship between assessed
5 value and taxable fair cash value for a county or for use categories
6 within a county expressed as a percentage determined in the annual
7 equalization ratio study;

8 8. "Assessment roll" means a computerized or noncomputerized
9 record required by law to be kept by the county assessor and
10 containing information about property within a taxing jurisdiction;

11 9. "Assessment year" means the year beginning January 1 of each
12 calendar year and ending on December 31 preceding the following
13 January 1 assessment date;

14 10. "Circuit breaker" means the form of property tax relief
15 provided by Sections 2904 through 2911 of this title;

16 11. "Class of subjects" means a category of property
17 specifically designated pursuant to provisions of the Oklahoma
18 Constitution for purposes of ad valorem taxation;

19 12. "Code" means the Ad Valorem Tax Code, Section 2801 et seq.
20 of this title;

21 13. "Coefficient of dispersion" means a statistical measure of
22 assessment uniformity for a category of property or for all property
23 within a taxing jurisdiction;

1 14. "Confidence level" means a statistical procedure for
2 determining the degree of reliability for use in reporting the
3 assessment ratio for a taxing jurisdiction;

4 15. "Cost approach" means a method used to establish the fair
5 cash value of property involving an estimate of current construction
6 cost of improvements, not to include developer costs at the time of
7 construction, subtracting accrued depreciation including any loss in
8 value that may be caused by physical deterioration, functional
9 obsolescence or economic obsolescence and adding the value of the
10 land.

11 a. Physical deterioration is a cause of depreciation that
12 is a loss in value due to ordinary wear and tear and
13 the forces of nature.

14 b. Functional or internal obsolescence is the loss in
15 value of a property resulting from changes in tastes,
16 preferences, technical innovations or market
17 standards.

18 c. Economic or external obsolescence is a cause of
19 depreciation that is a loss in value as a result of
20 impairment in utility and desirability caused by
21 factors outside the boundaries of the property or loss
22 of value in a property ~~(relative,~~ relative to the cost
23 of replacing it with a property of equal ~~utility),~~
24

1 utility that stems from factors external to the
2 property;

3 16. "County board of equalization" means the board which, upon
4 hearing competent evidence, has the authority to correct and adjust
5 the assessment rolls in its respective county to conform to fair
6 cash value and such other responsibilities as prescribed in Section
7 2801 et seq. of this title;

8 17. "Equalization" means the process for making adjustments to
9 taxable property values within a county by analyzing the
10 relationships between assessed values and fair cash values in one or
11 more use categories within the county or between counties by
12 analyzing the relationship between assessed value and fair cash
13 value in each county;

14 18. "Equalization ratio study" means the analysis of the
15 relationships between assessed values and fair cash values in the
16 manner provided by law;

17 19. "Fair cash value" or "market value" means the value or
18 price at which a willing buyer would purchase property and a willing
19 seller would sell property if both parties are knowledgeable about
20 the property and its uses and if neither party is under any undue
21 pressure to buy or sell and for real property shall mean the value
22 for the highest and best use for which such property was actually
23 used, or was previously classified for use, during the calendar year
24 next preceding the applicable January 1 assessment date;

1 20. "Fixed-wing aircraft" means a manned flying machine,
2 commonly known as an airplane, that generates lift through the
3 forward motion of the aircraft and wings that do not revolve around
4 a mast, but are fixed in relation to the fuselage of the aircraft.
5 Fixed-wing aircraft shall also comply with Federal Aviation
6 Administration regulations. For the purposes of this paragraph,
7 fixed-wing aircraft shall not include unmanned aircraft as defined
8 in Section 322 of Title 3 of the Oklahoma Statutes;

9 21. "Homestead exemption" means the reduction in the taxable
10 value of a homestead as authorized by law;

11 ~~21.~~ 22. "Income and expense approach" means a method to
12 estimate fair cash value of a property by determining the present
13 value of the projected income stream;

14 ~~22.~~ 23. "List and assess" means the process by which taxable
15 property is discovered, its description recorded for purposes of ad
16 valorem taxation and its fair cash value and taxable fair cash value
17 are established;

18 ~~23.~~ 24. "Mill" or "millage" means the rate of tax imposed upon
19 taxable value. One (1) mill equals One Dollar (\$1.00) of tax for
20 each One Thousand Dollars (\$1,000.00) of taxable value;

21 ~~24.~~ 25. "Multiple regression analysis" means a statistical
22 technique for estimating unknown data on the basis of known and
23 available data;

1 ~~25.~~ 26. "Parcel" means a contiguous area of land described in a
2 single description by a deed or other instrument or as one of a
3 number of lots on a plat or plan, separately owned and capable of
4 being separately conveyed;

5 ~~26.~~ 27. "Sales comparison approach" means the collection,
6 verification, and screening of sales data, stratification of sales
7 information for purposes of comparison and use of such information
8 to establish the fair cash value of taxable property;

9 ~~27.~~ 28. "State Board of Equalization" means the Board
10 responsible for valuation of railroad, airline and public service
11 corporation property and the adjustment and equalization of all
12 property values both centrally and locally assessed;

13 ~~28.~~ 29. "Taxable value" means the percentage of the fair cash
14 value of personal property or the taxable fair cash value of real
15 property, less applicable exemptions, upon which an ad valorem tax
16 rate is levied pursuant to the provisions of Section 8 and Section
17 8B of Article X of the Oklahoma Constitution;

18 ~~29.~~ 30. "Taxable fair cash value" means the fair cash value of
19 locally assessed real property as capped pursuant to Section 8B of
20 Article X of the Oklahoma Constitution;

21 ~~30.~~ 31. "Use category" means a subcategory of real property,
22 that is either agricultural use, residential use or
23 commercial/industrial use but does not and shall not constitute a
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1 class of subjects within the meaning of the Oklahoma Constitution
2 for purposes of ad valorem taxation;

3 ~~31.~~ 32. "Use value" means the basis for establishing fair cash
4 value of real property pursuant to the ~~requirement~~ requirements of
5 Section 8 of Article X of the Oklahoma Constitution; and

6 ~~32.~~ 33. "Visual inspection program" means the program required
7 in order to gather data about real property from physical
8 examination of the property and improvements in order to establish
9 the fair cash values of properties so inspected at least once each
10 four (4) years and the fair cash values of similar properties on an
11 annual basis.

12 SECTION 2. AMENDATORY 68 O.S. 2021, Section 2821, is
13 amended to read as follows:

14 Section 2821. A. Each county assessor shall cause real
15 property to be ~~physically~~ inspected as part of the visual inspection
16 cycle and shall require such examination as will provide adequate
17 data from which to make accurate valuations. Changes to property
18 may be discovered with the use of digital visual technology on
19 aerial images taken by fixed-wing aircraft complying with Federal
20 Aviation Administration regulations or satellite.

21 B. The information gathered from the physical inspection shall
22 be relevant to the type of property involved, its use category, the
23 valuation methodology to be used for the property, whether the
24 methodology consists of the cost approach, an income and expense

1 approach or sales comparison approach, and shall be complete enough
2 in order to establish the fair cash value of the property in
3 accordance with accepted standards for mass appraisal practice.

4 C. Information gathered during the physical inspection shall be
5 recorded using a standard method as prescribed by the Oklahoma Tax
6 Commission in computerized or noncomputerized form. The information
7 may include property ownership, location, size, use, use category, a
8 physical description of the land and improvements or such other
9 information as may be required.

10 D. In order to conduct the visual inspections of real property
11 during the four-year cycle, each county assessor shall acquire and
12 maintain cadastral maps and a parcel identification system. The
13 standards for the cadastral maps and the parcel identification
14 system shall be uniform for each county of the state and shall be in
15 such form as developed by the Ad Valorem ~~Task Force~~ Division of the
16 Oklahoma Tax Commission.

17 E. The county assessor shall maintain a comprehensive sales
18 file for each parcel of real property within the county containing
19 relevant property characteristics, sales price information,
20 adjustments to sales price for purposes of cash equivalency,
21 transaction terms and such other information as may be required in
22 order to establish the fair cash value of taxable real property.
23 Each county assessor shall ensure that the office is equipped with
24 adequate drafting facilities, tools, equipment and supplies in order

1 to produce or update maps, sketches or drawings necessary to support
2 the proper administration of the ad valorem tax and such other tools
3 or equipment as may be required to perform duties imposed by law for
4 the discovery and valuation of taxable property.

5 SECTION 3. This act shall become effective November 1, 2026.

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7 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
8 04/23/2026 - DO PASS.

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